



# Licensing

Once you are up and running, licensing is a way to grow your business. As a licensor, others pay to use your ideas, or as a licensee, you can pay to use other peoples' creative output.

## Becoming a licensor

Some entrepreneurs do not sell a tangible product. Instead, they sell the use of their intellectual property (IP) to other parties. IP includes virtual creations, such as designs, music, photographs, illustrations, written text, software,

and technical inventions. Under the licensing model, the licensor still owns their IP but allows someone else (the licensee) to use it under agreed terms, for a set period, and in return for a fee. For example, if you create a fictional character, you could sell a license allowing

another business to use it, such as in their branding, or to produce merchandising products.

## Being a licensee

Licensing gives licensees access to new ideas, concepts, and creations without needing to generate them.

## How licensing works

Licensing is a legal agreement between the person who holds the IP (the licensor) and the person or business who uses or sells that intellectual property to a wider market (the licensee). The licensor assigns rights to the licensee for a particular purpose and specifies the territories they can sell in. In return, the licensee pays a fee or percentage of any profits made. A licensee can also use IP as the basis of another product. For example, an illustrator might create an image that they license to a clothing manufacturer who prints it on a T-shirt and sells it (see right).



## WHAT CAN I LICENSE?

You can license a range of different kinds of IP, from virtual creations to physical products. For example you may be a software designer who licenses a new program out to universities. You might be a wildlife photographer who licenses your photo collection to a commercial picture agency. Or you may have invented a new gadget, then sell a license to an established company to distribute as part of their range.

## STEPS FOR THE LICENSOR

- 1 Register your chosen product**  
Before registering your IP, ensure that existing patents and copyrights (see pp.96-97) do not prevent you from developing your ideas.
- 2 Develop your USP**  
The more innovative your idea, the more valuable it is to the licensee. Research the market to find out just how unique (see pp.24-25) your offering is.
- 3 Identify potential licensees**  
Investigate who is selling or creating products in the same industry as yours. Visit the websites of trade shows for exhibitor lists to identify contacts to approach.
- 4 Approach and pitch**  
Make contact with the potential licensees you identify. Ask permission to send samples and let your idea sell itself.